# U.S. Proposes Tighter Rules on High-Tech Investments Abroad

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On Thursday, October 23, the U.S. Treasury Department proposed a new rule to tighten limits on American investments in high-tech work in China, Russia, North Korea, and other countries of concern. The rule is only a proposal for now, and Treasury will hear public comments before issuing a final rule.

**Outbound investment** means money that U.S. investors put into companies in other countries. The government says it has worked for years to stop such investments from helping adversaries build up military power.

The proposal would expand restrictions to **hypersonic** systems that can travel at five times the speed of sound, **supercomputing**, **biotechnology**, and artificial intelligence, which Treasury called superintelligence. It would apply only to investments over $50,000, and it would exclude many financial investments, including stock purchases.

The program began in 2023, when then-President Joe Biden signed an order restricting outbound U.S. investments in semiconductors, quantum computing, and artificial intelligence going into China. In December 2025, Congress passed a law that **codified** and expanded the program to more technologies and more countries, including Cuba, Iran, North Korea, and Russia.

Supporters say the proposal signals that Washington is tracking where U.S. capital flows and what capabilities it helps build. Craig Singleton, a senior fellow at the Foundation for Defense of Democracies, said screening investments recognizes that capital can speed up military-relevant capabilities just as technology transfer can. Former trade official Ryan Majerus called the rule just the first step in a fairly long process toward stronger enforcement.

China pushed back. Its Foreign Ministry said the United States should follow market-economy principles and stop interfering in normal economic cooperation between businesses. Spokesperson Mao Ning said overstretching national security and artificially restricting trade and investment serve no one's interests.

## Word Treasure

**Outbound investment** -- Money that investors from one country put into companies in another country.

**hypersonic** -- Something that moves at five times the speed of sound.

**supercomputing** -- Using extremely powerful computers to do very large and complex jobs quickly.

**biotechnology** -- Technology that uses living things, such as cells, to make products or solve problems.

**codified** -- Written into law in a formal, organised way.

## Background you need

An investment is money put into a company in the hope that it will grow or succeed.

An outbound investment is money that investors send to companies in other countries.

Governments sometimes limit such investments when they worry the money could help another country build military strength.

A proposal is not yet a final rule, so the public can comment on it before any final decision is made.

## Break it down

**LEAD:** Treasury proposes tighter limits on U.S. high-tech investments abroad

**KEY EVENT:** A proposed rule would expand restrictions on investments in countries of concern

+- WHO: The U.S. Treasury Department

+- WHEN: Proposed on Thursday, October 23; only a proposal, with public comments before a final rule

+- SCOPE: Hypersonic systems, supercomputing, biotechnology, and artificial intelligence

**BACKGROUND:** The program began in 2023 and was codified and expanded by Congress in December 2025

**SUPPORT:** Supporters say Washington is tracking where capital flows and what it helps build

**OPPOSITION:** China says the United States should stop interfering in normal business cooperation

## Why it matters

The rule could shape which technologies receive U.S. money abroad, affecting military capabilities, trade relations, and how businesses invest across borders.

## Test what you remember

**1. When did the U.S. Treasury Department propose the new rule?**

- (A) In 2023
- (B) Thursday, October 23
- (C) On Sunday
- (D) In December 2025

**2. What does outbound investment mean?**

- (A) Money U.S. investors put into companies in other countries
- (B) Buying stocks on a U.S. exchange
- (C) Money tourists spend abroad
- (D) Money the government gives to states

**3. Which technologies would the proposal expand restrictions to?**

- (A) Semiconductors only
- (B) Farming and fishing
- (C) Stock purchases and bank loans
- (D) Hypersonic systems, supercomputing, biotechnology, and artificial intelligence

**4. Which investments would the proposal apply to?**

- (A) Only stock purchases
- (B) Only investments under $50,000
- (C) Only investments over $50,000
- (D) All investments of any size

**5. What did Congress do in December 2025?**

- (A) Asked China to draft the rule
- (B) Passed a law that codified and expanded the program
- (C) Ended all outbound investment rules
- (D) Rejected the Treasury proposal

**6. What did spokesperson Mao Ning say?**

- (A) The rule is just the first step toward stronger enforcement
- (B) The United States should follow market-economy principles
- (C) Capital can speed up military-relevant capabilities just as technology transfer can
- (D) Overstretching national security and artificially restricting trade and investment serve no one's interests

Answer key (try the quiz first!): 1: B 2: A 3: D 4: C 5: B 6: D

## Questions to think about

1. Supporter Craig Singleton: Says screening investments recognizes that capital can speed up military-relevant capabilities just as technology transfer can.

2. Former trade official Ryan Majerus: Calls the rule just the first step in a fairly long process toward stronger enforcement.

3. China's Foreign Ministry and spokesperson Mao Ning: Say the United States should follow market-economy principles and stop interfering in normal economic cooperation, and that overstretching national security and artificially restricting trade and investment serve no one's interests.

**MY THOUGHTS (at least 20 words):**